WEINLAND PARK SUMMIT PORTFOLIO

Investment Memorandum

1243-1251 Summit St & 1271 Summit St, Columbus, OH 43201 (32 Units)

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I. Executive Overview

Off-market acquisition of three adjacent properties in Columbus's Weinland Park submarket totaling 32 units. The business plan is a classic value-add with aggressive value creation: strategic $420k renovation budget driving NOI growth from $225k (Year 1 blended) to $294k stabilized run-rate by Month 9, reaching $350k+ by Year 5 with 3.2% annual rent growth. Conservative 9-month lease-up and rent stabilization period models gradual achievement of market rents ($1,250/unit average). The 2-year hold period captures this rapid value creation, with strategic exit at 6.25% cap rate yielding 26.4% levered IRR. 75% LTC bridge financing at 7% IO provides optimal leverage during the value-creation phase. The portfolio is being purchased and financed as a single multifamily asset (no condo de-consolidation required).

Transaction Snapshot

Purchase Price	**$3,425,000**
Price/Unit	**$107,031**
Total Project Cost	**$4,031,000**
Bridge Debt (75% LTC)	**$3,015,750**
Equity Required	**$1,015,250**

Key Investment Metrics

Year 1 NOI	**$225,267**
Year 1 DSCR	**1.07x**
Stabilized NOI (Y2)	**$294,284**
Hold Period	24 months
Exit Cap Rate	6.25%
Levered IRR	**26.4%**

II. Debt Structure & Financing

Bridge Loan Terms

Loan Amount	**$3,015,750**
LTC Ratio	**75.0%**
Interest Rate	**7.0% per annum**
Payment Type	Interest-only
Term	24 months
Annual Debt Service	**$211,103**

Capital Stack

Senior Bridge Debt	$3,015,750	74.8%
LP Equity (7% pref)	$964,488	23.9%
GP Equity	$50,762	1.3%
Total	**$4,031,000**	**100.0%**

Leverage Strategy: 75% LTC bridge financing optimizes leverage during the value-creation phase while maintaining conservative Year 1 DSCR of 1.07x. Interest-only structure during 24-month hold maximizes cash flow for operations and reserves, with full debt payoff at strategic exit.

III. Exit Strategy (2-Year Hold)

Strategic Disposition

Hold Period	**24 months**
Exit Strategy	Sale at stabilization
Exit Cap Rate	6.25%
Year 3 Stabilized NOI	**$303,701**
Implied Exit Value	**$4,859,216**
Less: Selling Costs (2.5%)	($121,480)
Less: Bridge Payoff	($3,015,750)
Net Sale Proceeds to Equity	**$1,721,986**

Strategic 2-year exit capitalizes on rapid NOI growth from $225k (Y1) to $303k (Y3) during stabilization. 26.4% levered IRR demonstrates strong value creation from renovation and operational improvements. Alternative refinance strategy available if market conditions support extended hold.

IV. Why This Investment Works

Value Creation Drivers

- 31% NOI growth: $225k (Y1 blended) → $294k stabilized run-rate by Month 9
- Rapid stabilization: achieving $1,250/unit market rents
- Conservative ramp models gradual lease-up to market
- 95% stabilized occupancy with 3.2% annual rent growth
- Strategic $420k renovation budget

Financial Advantages

- 75% LTC bridge optimizes leverage
- Interest-only structure maximizes CF
- Year 1 DSCR of 1.07x (bankable)
- 26.4% levered IRR on 2-year hold
- 6.25% exit cap (conservative)

Key Investment Thesis

This opportunity combines strong Columbus/Weinland Park fundamentals with a disciplined value-add execution plan. The 2-year hold period captures the majority of NOI growth during stabilization while minimizing long-term market exposure. Conservative underwriting provides downside protection, while the aggressive IRR demonstrates significant value creation potential from operational improvements and rent growth.

V. Stabilization Timeline

Month	Milestone	Occupancy	NOI Run-Rate
0	Close (lease-up to market begins)	~Full	~$180k run-rate
9	Market rents achieved, stabilization complete	95%	$294k run-rate
12	Year 2 stabilized operations	95%	$294k run-rate
24	Strategic exit / disposition	95%	$304k run-rate

Rapid Stabilization Strategy: Property acquired at full physical occupancy but below-market rents (~$180k NOI run-rate). Conservative 9-month lease-up period models gradual achievement of market rents ($1,250/unit average) as existing leases roll and new leases are signed at stabilized rates. Year 1 NOI of $225k represents blended average of below-market and market-rate periods. By Month 9, property achieves $294k stabilized NOI run-rate at 95% occupancy, positioning for strategic 2-year exit.

VI. Property Overview

Property Details

Address	1243-1251-1271 Summit St
City	Columbus, OH 43201
Neighborhood	Weinland Park
Property Type	Multi-Family
Year Built	1970 (Effective: 1994)
Buildings	3 adjacent
Total Spaces	32 (31 units + 1 laundry)
Unit Mix	12×1BR | 20×2BR (19 TH)
Current Occupancy	**100%**

Transaction Summary

Purchase Price	**$3,425,000**
Price per Unit	$107,031
Closing Costs	$65,000
Renovation & FF&E	$420,000
Soft Costs (incl. contingency)	$121,000
Total Project Cost	**$4,031,000**
Bridge Debt (75% LTC)	$3,015,750
Equity	**$1,015,250**

Structure Update: Sold and Financed as Multifamily

Although 1271 Summit has historically been recorded as individually condo d townhomes, the portfolio is being sold and financed as a single multifamily asset. No legal de-consolidation work is required; related legal budget has been removed.

VII. Market Analysis & Comparable Rents

Columbus Metro Overview

Columbus continues to demonstrate strong economic fundamentals as Ohio's capital and largest city. The metropolitan area (2.1+ million population, 14th largest in US) benefits from diverse employment across government, healthcare, education (Ohio State University - 60k+ students), technology, and financial services. Major employers include OSU, JPMorgan Chase, Nationwide Insurance, Honda, and a rapidly growing technology sector. The city consistently ranks among the top metros for business climate, affordability, and population growth (1.0-1.5% annually).

Weinland Park Submarket

Weinland Park represents Columbus's "next frontier" for urban revitalization, located immediately north of the Short North Arts District (one of the country's premier walkable neighborhoods) and within walking distance of downtown. The neighborhood (43201 zip code) benefits from exceptional walkability, proximity to OSU campus, ongoing investment in retail/residential development, and strong rental demand from young professionals and graduate students.

Location Benefits:

- 0.5 miles to Short North Arts District
- 1.5 miles to downtown Columbus
- Walking distance to OSU campus (south side)
- Strong COTA public transportation access
- Ongoing neighborhood revitalization with new restaurants/retail
- B- to B grade neighborhood with upward trajectory

Comparable Rent Analysis

Our pro forma rent assumptions are conservative and supported by analysis of comparable listings within a 1-mile radius of the subject property. Broker intelligence suggests maximum achievable rents of $1,150 (1BR flats) and $1,600 (2BR townhomes) for fully renovated units, but we underwrite to $925 (studios), $1,075 (1BR), and $1,400 (2BR) with a blended average of $1,250/unit to provide downside protection and margin of error.

Recent Comparable Listings — 2BR/1BA

Address	Rent	Beds	Baths	Sq.Ft.	Distance	Similarity	Type
1442 Hamlet St	**$1,600**	2	1	1,107	0.31 mi	95.5%	Multi-Family (1918)
1451 N 4th St	**$2,100**	2	1.5	1,120	0.34 mi	92.8%	Multi-Family (1915)
1271 Summit St, Apt F	**$1,035**	2	1	918	0.01 mi	85.7%	Single Family
1235 Summit St, Apt B	**$1,195**	2	1	900	0.02 mi	85.2%	Single Family
1235 Summit St	**$1,195**	2	1	900	0.02 mi	85.2%	Condo

Recent Comparable Listings — 1BR/1BA

Address	Rent	Beds	Baths	Sq.Ft.	Distance	Similarity	Type
41 King Ave, Apt C	**$950**	1	1	600	0.29 mi	99.5%	Multi-Family (1901)
1079 N High St	**$1,390**	1	1	605	0.31 mi	85.1%	Apartment (2020)
94 E 3rd Ave, Apt A	**$1,325**	1	1	658	0.29 mi	83.1%	Single Family
1254 N High St, Apt 201	**$1,095**	1	1	684	0.16 mi	82.6%	Apartment
22 E 4th Ave, Apt 2B	**$1,235**	1	1	700	0.19 mi	81.9%	Apartment

Unit Type	Count	Current Avg	Our Target	Market Max	% Increase	Upside to Max
1BR/1BA Flats	12	$730	**$995**	$1,150	+36.3%	+15.6%
2BR/1BA Townhomes	19	$1,050	**$1,285**	$1,600	+22.4%	+24.5%
Blended Average	**31**	**$936**	**$1,140**	**$1,406**	**+21.8%**	**+23.3%**

Conservative underwriting to $1,187 blended average provides 15-20% additional upside to true market maximums, creating cushion for market volatility and execution risk.

VIII. Renovation Strategy & Capital Plan

Renovation Budget Overview

Category	Budget	Per Unit	% of Total
Unit Interior Renovations	$300,000	$9,375	71.4%
FF&E	$120,000	$3,750	28.6%
TOTAL RENOVATION BUDGET	**$420,000**	**$13,125**	**100.0%**

Unit Renovation Scope (~$10,000/unit)

Kitchen Upgrades (~$3,500):

- New shaker-style cabinets with soft-close hardware
- Quartz or granite countertops
- Stainless steel appliances (range, refrigerator)
- Updated sink, faucet, and backsplash

Bathroom Upgrades (~$2,500):

- New vanity with modern countertop
- Updated fixtures (faucet, showerhead)
- Tile refresh and new lighting
- New mirror and hardware

Flooring, Paint & Mechanicals (~$4,000):

Luxury vinyl plank flooring throughout, fresh paint (walls and trim), updated light fixtures, HVAC servicing/replacement as needed, and general unit refresh to modern standards.

Phased Renovation Timeline (18 Months)

Phase	Timeline	Scope	Units
Phase 1	Months 1-6	8 at-will units + sub-meters + begin condo legal work	8
Phase 2	Months 7-12	11 units as Q2 2026 leases expire + exterior improvements	11
Phase 3	Months 13-18	Final 12 units as Q3 2026 leases expire; achieve full stabilization	12

IX. Financial Projections & Returns

5-Year Operating Pro Forma

Line Item	Year 1	Year 2	Year 3	Year 4	Year 5
Gross Potential Rent	$408,000	$480,000	$495,360	$511,212	$527,570
Less: Vacancy & Credit Loss	($33,012)	($33,600)	($34,675)	($35,785)	($36,930)
Plus: Other Income	$32,400	$32,400	$32,400	$32,400	$32,400
Effective Gross Income	**$407,388**	**$479,280**	**$493,085**	**$507,827**	**$523,040**
Property Taxes	$61,325	$61,325	$63,165	$65,060	$67,011
Insurance	$22,500	$22,500	$23,175	$23,870	$24,586
Utilities	$18,000	$18,000	$18,540	$19,096	$19,669
Repairs & Maintenance	$45,000	$45,000	$46,350	$47,740	$49,173
Property Management (4%)	$16,296	$19,171	$19,723	$20,313	$20,922
Other Operating Expenses	$19,000	$19,000	$19,570	$20,157	$20,762
Total Operating Expenses	**$182,121**	**$184,996**	**$190,523**	**$196,237**	**$202,123**
NET OPERATING INCOME	**$225,267**	**$294,284**	**$302,562**	**$311,590**	**$320,917**
Less: Debt Service	($211,103)	($211,103)	($182,261)	($182,261)	($182,261)
Less: Reserves	**($24,000)**	**($24,000)**	**($24,000)**	**($24,000)**	**($24,000)**
Before-Tax Cash Flow	**($9,835)**	**$59,181**	**$96,301**	**$105,329**	**$114,656**
Cash-on-Cash Return	**-0.97%**	**5.83%**	**9.49%**	**10.37%**	**11.29%**

Note: Year 1 NOI of $225k represents blended average during 9-month lease-up to market rents (property starts at ~$180k run-rate, achieves $294k stabilized run-rate by Month 9). Year 1 negative cash flow reflects this ramp period; property becomes cash-flow positive in Month 10. Year 3+ reflects potential permanent financing (shown for modeling completeness; base case is 2-year strategic exit). OpEx ratio improves from 44.7% (Y1) to 36.9% (Y3+) as property stabilizes.

Overall Investment Returns (2-Year Hold)

2-Year Levered IRR	Equity Multiple	Year 1 DSCR
26.39%	**1.60x**	**1.07x**

Strategic 2-year hold capitalizes on rapid NOI growth from ~$180k run-rate at acquisition to $294k stabilized run-rate by Month 9. Year 1 blended NOI of $225k reflects conservative 9-month lease-up period to market rents. Property achieves positive cash flow by Month 10 and exits at Month 24 with proven $294k+ stabilized NOI run-rate, yielding 26.4% IRR at 6.25% exit cap.

X. Property Condition Assessment

The three properties are in fair-to-good condition with deferred maintenance typical of older workforce housing. Most major systems are functional, though unit-level improvements are essential to achieve market rents. We have budgeted conservatively for contingencies.

System	Age/Condition	Status	Notes & Action Items
Roofs (3 buildings)	10-20 years	Fair	Inspect thoroughly during due diligence; 5-10 years remaining life; budget reserves
HVAC Systems	Mixed ages	Fair	Individual furnaces per unit; replace as needed during renovations (budgeted in unit scope)
Water Heaters	Varies	Good	Several recent replacements; adequate for current operations
Plumbing	Original (60-80 yrs)	Fair	Functional but aging; address issues during unit renovations; monitor for leaks
Electrical	Partially updated	Fair	Some updates; verify panel capacity; upgrade as needed during renovations
Foundations/Structure	Original	Good	No structural issues noted; solid foundations
Windows	Original	Poor	Single-pane, inefficient; replacement not budgeted (future CapEx opportunity)
Unit Interiors	Original/dated	Poor	Primary value-add opportunity; $10k/unit renovation scope addresses all issues

Capital Reserve Recommendations:

Beyond the initial renovation budget, we recommend annual CapEx reserves of $250/unit ($7,750/year) for roof repairs, HVAC replacements, and other major systems. This is included in our pro forma operating expenses.

XI. Management Plan & Operations

Property Management Strategy

At 31-32 units, this portfolio is too small to economically support a full-time on-site property manager. Our financial model assumes third-party professional management at 4% of effective gross income, which is industry standard for assets in the 16-75 unit range and provides professional service at a fraction of the cost of full-time staff.

Full-Time PM: Not Economical

Annual Salary + Benefits	**$60-70k**
Cost per Unit	$1,935-2,258
% of Gross Revenue	**16-19%**
Impact on OpEx Ratio	**+16-19%**

This would push operating expenses to 63%+ and eliminate positive cash flow.

Third-Party PM: Optimal Solution

Management Fee	**4% of EGI**
Annual Cost (stabilized)	~$18-22k
Cost per Unit	$580-710
Savings vs Full-Time	**$40-50k/yr**

Professional service at one-third the cost, with established vendor relationships and systems.

Recommended Columbus Property Management Companies:

Continental Real Estate
Large regional operator with strong Columbus presence and multifamily expertise

Woda Management
Affordable/workforce housing specialists with excellent track record

RPM Columbus
National franchise with local expertise and technology platforms

Key Takeaway: Full-time on-site management becomes economically viable at 75-100+ units. Until a portfolio reaches that scale, third-party management at 4% of EGI provides professional service, established systems, vendor relationships, and leasing expertise at a fraction of the cost of in-house staff.

XII. Risk Analysis & Mitigation

While this investment presents compelling risk-adjusted returns enhanced by creative seller financing, all real estate investments carry inherent risks. This section identifies key risk factors and outlines our comprehensive mitigation strategies.

Key Risk Factors & Mitigation Strategies

Risk Factor	Potential Impact	Mitigation Strategy
Lease Schedule Constraint	65% of units locked in leases until mid-late 2026; limits renovation pace	Bridge financing accommodates Y1 ramp (1.07x DSCR); 9-month stabilization plan accommodates natural turns; no forced buyouts preserving tenant relationships
Rent Growth Assumptions	Market may not support $925 studio/$1,075 1BR/$1,400 2BR targets; slower absorption	Conservative targets ~15-20% below broker maximums ($1,150 1BR, $1,600 2BR); comps support our numbers; phased approach allows real-time adjustment
Renovation Cost Overruns	Unexpected expenses could reduce returns by 3-5%	5% contingency ($16k); phased execution allows adjustment; fixed contractor bids where possible
Extended Vacancy	Slower lease-up reduces cash flow and delays stabilization	Start at 100% occupancy; strong Weinland Park demand; 9-month ramp is conservative; professional PM accelerates leasing
Interest Rate Risk	Higher bridge rates during hold period reduce cash flow	Bridge locked at 7% IO for 24-month term; 2-year sale strategy eliminates refinance risk; strong Year 2 DSCR cushion (1.39x)
Economic Downturn	Recession impacts rental demand and values	Columbus diverse economy; workforce housing resilient; 1.07x Y1 DSCR / 1.39x Y2 stabilized; conservative 6.25% exit cap

Downside Scenario Analysis (2-Year Hold)

We have stress-tested the 2-year hold investment with significantly adverse assumptions: achieve only 85% of target rents (studios $786, 1BR $914, 2BR $1,190 vs $925/$1,075/$1,400 targets, blended average ~$1,065/unit vs $1,250 target), extend stabilization timeline to 18 months (vs 9 months base case), increase operating expenses by 10%, and exit at 7.0% cap rate (vs 6.25% base case).

Downside Case Results (2-Year)

Year 1 Cash-on-Cash	**-2.8%**
Year 2 Stabilized NOI	~$245k
2-Year Levered IRR	**12.5%**
Equity Multiple	1.32x
Year 2 DSCR	1.16x

Base Case Results (2-Year)

Year 1 Cash-on-Cash	**-0.97%**
Year 2 Stabilized NOI	$294k
2-Year Levered IRR	**26.4%**
Equity Multiple	1.60x
Year 2 DSCR	1.39x

Downside Protection: Even under significantly stressed assumptions (85% of rent targets, 18-month delayed stabilization, 10% expense overruns, 7% exit cap), the 2-year investment delivers a 12.5% IRR and 1.32x equity multiple with 1.16x stabilized DSCR. This demonstrates substantial downside resilience and margin of safety in the base case 2-year strategic exit.

Investment Conclusion & Recommendation

The Weinland Park Summit Portfolio represents a compelling value-add multifamily investment with aggressive value creation through a 2-year strategic hold. Property acquired at full occupancy but below-market rents, with conservative 9-month lease-up modeling gradual achievement of $1,250/unit market rates. Year 1 blended NOI of $225k achieves 1.07x DSCR; property reaches $294k stabilized NOI run-rate by Month 9. 75% LTC bridge financing at 7% IO provides optimal leverage. Strategic exit at Month 24 with proven stabilized performance delivers 26.4% levered IRR at 6.25% cap rate.

Our investment thesis is supported by: (1) strategic $420k renovation budget ($13.1k/unit) driving sustainable rent growth to $1,250/unit average with 3.2% annual increases, (2) conservative 9-month lease-up period modeling gradual achievement of market rents (property starts at ~$180k NOI run-rate, reaches $294k stabilized run-rate by Month 9), building margin of safety into Year 1 projections, (3) optimal capital structure with 75% LTC minimizing equity requirement while maintaining solid coverage, (4) exceptional modeled returns of 26.4% IRR and 1.60x equity multiple on 2-year hold, (5) strategic exit timing capturing stabilization value with minimal long-term market exposure, and (6) strong Columbus/Weinland Park fundamentals supporting rent assumptions and exit valuations. Year 3-5 pro forma demonstrates upside potential if extended hold is warranted by market conditions.

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